

THE OECD TAX-BENEFIT DATABASE

Description of policy rules for
Canada 2022



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Description of policy rules for 2022

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Preface

This report provides a detailed description of the tax and benefit rules in Canada as they apply to working-age individuals and their dependent children. It also includes output from the [OECD Tax-Benefit model \(TaxBEN\)](#), which puts all these complex legal rules into a unified methodological framework that enables international comparisons of how tax liabilities and benefit entitlements affect the net disposable income of families in different labour market circumstances, .e.g. in employment versus unemployment.

The **main body** of the report describes the rules that are relevant for the family and labour market characteristics that are within the scope of the **TaxBEN** model (see below for the methodology and user guide). The **annex** provides information on other cash benefits and taxes on employment income that are relevant for other groups of the working-age population, but are outside the scope of the **TaxBEN** model.

TaxBEN is essentially a large cross-country calculator of tax liabilities and benefit entitlements for a broad set of *hypothetical* families (“vignettes”), e.g. a married couple of 40-years-old adults with two children aged 4 and 6 (click [here](#) for a quick overview of the **TaxBEN** model). **TaxBEN** incorporates rules on the main taxes on employment income, social contributions paid by employees and employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family and childcare benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits, maternity and parental leaves benefits are included in the model for a sub-set of countries and years. The main policy instruments that are currently not included in the **TaxBEN** model are taxes on wealth (e.g. taxes on immovable and unmovable properties), indirect taxes (e.g. VAT), early-retirement benefits, short-time work compensation schemes, sickness benefits, and in-kind benefits (e.g. subsidised transport and free health care).

Useful online resources for the OECD tax-benefit model (TaxBEN)



[TaxBEN web calculator](#)



[Methodology and user guide](#)



[OECD tax-benefit data portal](#)



[Network of national experts](#)

Guidelines for updating this report (for national experts)



[General guidelines](#)

Detailed [guidelines for updating Section 5](#) “Net costs for Early Childhood Education and Care”

Reading notes and further details on the content of this report

- **Reference date** for the policy rules described in this report: **January 1, 2022**.
- The TaxBEN models all policies in effect on the reference date. This includes temporary policies implemented in response to the **Covid-19 pandemic**.
- The symbol ⓘ in the text provides a link to the glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- **TaxBEN** variables are indicated in the text using the format **[variable name]**.

The OECD tax-benefit model for Canada: Policy rules in 2022

1. Reference wages

Average wage **[AW]**: The OECD tax-benefit model uses Secretariat estimates of the average full-time wage (available [here](#)).¹ If Secretariat estimates are not available yet, the model uses wage projections obtained by applying forecasted wage growth² to the latest available wage estimate. On 29 December 2021, a federal minimum wage was introduced in Canada, applying to workers in the federally regulated private sector³. As at 1 January 2022, the federal minimum wage in Canada is CAD 15 per hour. Only a small share of Canadian workers are covered by the federal minimum wage (those who work in federally regulated industries), with the provinces setting the minimum wage applying to most workers.

The minimum wage **[MIN]** used by the TaxBEN model is an average of the provinces' minimum wages weighted by employment shares. In 2022, the minimum wage is CAD $14.34 * 40 * 52 = \text{CAD } 29\,827.20$ per year.

2. Unemployment benefits

2.1. Unemployment insurance (*Employment Insurance*)

Variable names:⁴ **[UB; UI_p; UI_s; FSUP]**

It is contributory, not means-tested and taxable. 

The Employment Insurance (EI) program provides temporary income support(s) to replace lost employment income to individuals who become unemployed involuntarily (i.e., regular or fishing benefits), or need to temporarily take time away from work because of sickness, pregnancy, or taking leave from work to provide care for a newborn or newly adopted child, or a critically or gravely ill family member (special benefits). The EI program is designed to support labour market transitions by acting as an economic stabilizer over the economic cycle and assisting people by providing income support through Part I of the *Employment Insurance Act*. Furthermore, the EI program provides active measures to return to employment including training, through Part II of the *Act*. Benefits are earnings-related and are subject to a maximum amount.

¹ Average Wages are estimated by the Centre for Tax Policy and Administration at the OECD. For more information on methodology see the latest Taxing Wages publication.

² Wage growth projections are based on [OECD Economic Outlook](#) and [EU economic forecasts](#) (for non-OECD countries).

³ <https://www.canada.ca/en/employment-social-development/news/2021/12/federal-minimum-wage-to-rise-to-15-per-hour-on-december-29.html>

⁴ The variable names ending with “_p” refer to the first adult (so-called “principal” adult) whereas those ending with “_s” are related to the spouse.

2.1.1. Eligibility conditions

All persons in paid employment and self-employed fishers, who contribute to the Employment Insurance (EI) program by paying premiums, are potentially eligible to receive EI regular and special benefits. All workers who have paid premiums in the past year and meet the qualifying and entitlement conditions can apply to receive EI benefits, regardless of age.

Self-employed Canadians (other than self-employed fishers) are able to opt in to the EI program on a voluntary basis to access EI special benefits (e.g., maternity, parental, sickness, compassionate care and family caregiver for children or adults).

Contribution/employment history: entrance requirements for EI regular benefits vary with the local monthly EI unemployment rate. A minimum of 420 hours of work in their qualifying period (generally a 52-week period prior to the loss of employment) is required in areas of relatively high unemployment (over 13%) and 700 hours in areas of relatively low unemployment (6% or lower).

EI Entrance Requirements

Regional rate of unemployment (%)	Required number of insured hours of employment in the qualification period
6 and under	700
Over 6 to 7	665
Over 7 to 8	630
Over 8 to 9	595
Over 9 to 10	560
Over 10 to 11	525
Over 11 to 12	490
Over 12 to 13	455
Over 13	420

For paid employees in insurable employment, access to all EI special benefits is a flat entrance requirement of 600 hours of insurable employment in the 52-week period immediately preceding the claim or the period since the start of the previous claim. This requirement does not vary according to regional unemployment rates. Qualification for EI fishing benefits is based on earnings, as opposed to weeks or hours of work.

While the job market continues to recover from the impacts of the COVID-19 pandemic, Budget 2021 introduced temporary measures to maintain flexible access to EI benefits for a period of one year (September 26, 2021 to September 24, 2022). It also extended EI temporary measures introduced during the COVID-19 Economic Response Plan that would have otherwise expired in September 2021. This includes:

- Maintaining uniform access to EI benefits across all regions, including through a 420-hour entrance requirement for regular and special benefits;
- Ensuring that all insurable hours of employment count towards a claimant's eligibility, as long as their last job separation is found to be valid;

- Allowing claimants to start receiving EI benefits sooner by simplifying rules around the treatment of severance, vacation pay, and other monies paid on separation.

Behavioural requirements and related eligibility conditions:  TaxBEN assumes that the following compulsory conditions are satisfied when simulating unemployment benefits.⁵

- The claimant is involuntarily unemployed (that is, they did not lose employment due to their misconduct and did not leave their job without just cause)
- The claimant performs job search measures during their benefit period

In order to qualify to claim special benefits, self-employed Canadians and permanent residents must have:

- Entered into a benefit agreement with Service Canada at least 12 months prior;
- Paid annual premiums during that 12-month (or more) timeframe;
- Reduced the amount of time devoted to their business by at least 40%; and
- Earned a minimum amount of self-employment earnings in the preceding calendar year (CAD 8 092 in 2021). For claims made in 2022, a special COVID measure was introduced that reduced the eligibility threshold to CAD 5 289 until September 24, 2022. Prior to the special COVID measure, the eligibility threshold was CAD 7 555.⁶

2.1.2. *Benefit amount*

Calculation base: The calculation of benefit is based on average weekly insurable earnings. Since April 7, 2013, average weekly insurable earnings are calculated from the best weeks of earnings in the qualifying period (usually 52 weeks). The number of best weeks ranges between 14 and 22 depending on the monthly regional EI unemployment rate.

Benefit amount: The replacement rate is 55% of average weekly insurable earnings. The maximum weekly EI benefit rate is CAD 638 per week based on the maximum weekly insurable earnings of CAD 1 160 for 2022.

EI claimants from low-earning families with children are eligible for the EI Family Supplement, which increases the replacement rate of their earnings. In this context, low-earning is defined as net family income under CAD 25 921. Recipients can receive up to an 80% replacement rate depending on their net family income and the number and age(s) of the children (see table below). Claimants with family income below CAD 20 921 receive the full supplement available to them based on the number and age(s) of their children.

⁵ Details on behavioural requirements and sanction provisions for unemployment benefits are reported at <https://www.oecd.org/social/strictness-benefit-eligibility.htm>

⁶ TaxBEN does not model unemployment benefits for self-employed workers. Therefore EI special benefits are not modelled.

Family Supplement - rate increase
(in CAD)

Family income range	Number of children			Top-up for each additional child	Age supplement for each child under 7
	1	2	3		
Below 20 921	31.30	58.70	86.10	27.45	4.15
20 921 - 21 250	31.25	58.60	86.00	27.40	4.10
21 251 - 21 500	28.50	53.60	78.80	25.60	3.85
21 501 - 21 750	26.45	49.90	73.45	24.25	3.65
21 751 - 22 000	24.45	46.25	68.20	22.85	3.45
22 001 - 22 250	22.55	42.70	63.15	21.50	3.25
22 251 - 22 500	20.70	39.30	58.15	20.15	3.05
22 501 - 22 750	18.90	35.95	53.30	18.75	2.80
22 751 - 23 000	17.15	32.70	48.60	17.40	2.60
23 001 - 23 250	15.45	29.55	44.00	16.00	2.40
23 251 - 23 500	13.80	26.50	39.55	14.65	2.20
23 501 - 23 750	12.25	23.55	35.25	13.30	2.00
23 751 - 24 000	10.70	20.70	31.05	11.90	1.80
24 001 - 24 250	9.25	17.95	26.95	10.55	1.60
24 251 - 24 500	7.85	15.30	23.05	9.15	1.40
24 501 - 24 750	6.55	12.75	19.20	7.80	1.20
24 751 - 25 000	5.25	10.25	15.55	6.45	1.00
25 001 - 25 250	4.00	7.90	12.00	5.05	0.75
25 251 - 25 500	2.85	5.65	8.55	3.70	0.55
25 501 - 25 750	1.75	3.45	5.25	2.30	0.35
25 751 - 25 921	0.70	1.40	2.10	0.95	0.15

Although Family Supplement recipients can receive up to an 80% replacement rate overall, the maximum weekly EI benefit rate, including the Family Supplement, is subject to the maximum weekly benefit rate of CAD 638 for 2022.

2.1.3. Benefit duration

EI regular benefits are payable for a maximum period of 45 weeks, starting after a claim has been made. The number of weeks of benefits to which a claimant is entitled is a function of the number of hours worked in the qualifying period and the local unemployment rate. Entitlement varies from 14 to 45 weeks and an unpaid one-week waiting period must be served (not modelled in TaxBEN). EI Benefits are paid on a bi-weekly basis.

As shown in the table below, in general, a one-percentage point increase in the regional monthly unemployment rate provides an additional entitlement of two weeks of benefits. An additional 70 hours of work adds one week of entitlement for a claimant with short employment duration (less than 1 400 hours) in the qualifying period and two weeks of entitlement to claimants with long employment duration (over 1 400 hours).

Insured Hours of Work	Regional Unemployment Rate (%)											
	6% and under	Over 6% to 7%	Over 7% to 8%	Over 8% to 9%	Over 9% to 10%	Over 10% to 11%	Over 11% to 12%	Over 12% to 13%	Over 13% to 14%	Over 14% to 15%	Over 15% to 16%	Over 16%
420-454	0	0	0	0	0	0	0	0	26	28	30	32
455-489	0	0	0	0	0	0	0	24	26	28	30	32
490-524	0	0	0	0	0	0	23	25	27	29	31	33
525-559	0	0	0	0	0	21	23	25	27	29	31	33
560-594	0	0	0	0	20	22	24	26	28	30	32	34
595-629	0	0	0	18	20	22	24	26	28	30	32	34
630-664	0	0	17	19	21	23	25	27	29	31	33	35
665-669	0	15	17	19	21	23	25	27	29	31	33	35
700-734	14	16	18	20	22	24	26	28	30	32	34	36
735-769	14	16	18	20	22	24	26	28	30	32	34	36
770-804	15	17	19	21	23	25	27	29	31	33	35	37
805-839	15	17	19	21	23	25	27	29	31	33	35	37
840-874	16	18	20	22	24	26	28	30	32	34	36	38
875-909	16	18	20	22	24	26	28	30	32	34	36	38
910-944	17	19	21	23	25	27	29	31	33	35	37	39
945-979	17	19	21	23	25	27	29	31	33	35	37	39
980-1014	18	20	22	24	26	28	30	32	34	36	38	40
1015-1049	18	20	22	24	26	28	30	32	34	36	38	40
1050-1084	19	21	23	25	27	29	31	33	35	37	39	41
1085-1119	19	21	23	25	27	29	31	33	35	37	39	41
1120-1154	20	22	24	26	28	30	32	34	36	38	40	42
1155-1189	20	22	24	26	28	30	32	34	36	38	40	42
1190-1224	21	23	25	27	29	31	33	35	37	39	41	43
1225-1259	21	23	25	27	29	31	33	35	37	39	41	43
1260-1294	22	24	26	28	30	32	34	36	38	40	42	44
1295-1329	22	24	26	28	30	32	34	36	38	40	42	44
1330-1364	23	25	27	29	31	33	35	37	39	41	43	45

1365-1399	23	25	27	29	31	33	35	37	39	41	43	45
1400-1434	24	26	28	30	32	34	36	38	40	42	44	45
1435-1469	25	27	29	31	33	35	37	39	41	43	45	45
1470-1504	26	28	30	32	34	36	38	40	42	44	45	45
1505-1539	27	29	31	33	35	37	39	41	43	45	45	45
1540-1574	28	30	32	34	36	38	40	42	44	45	45	45
1575-1609	29	31	33	35	37	39	41	43	45	45	45	45
1610-1644	30	32	34	36	38	40	42	44	45	45	45	45
1645-1679	31	33	35	37	39	41	43	45	45	45	45	45
1680-1714	32	34	36	38	40	42	44	45	45	45	45	45
1715-1749	33	35	37	39	41	43	45	45	45	45	45	45
1750-1784	34	36	38	40	42	44	45	45	45	45	45	45
1785-1819	35	37	39	41	43	45	45	45	45	45	45	45
1820 and over	36	38	40	42	44	45	45	45	45	45	45	45

The EI program uses regional unemployment rates to calculate EI benefit entitlement, as reported at https://srv129.services.gc.ca/eiregions/eng/rates_cur.aspx

TaxBEN uses the average Canada unemployment rate as reported by Statistics Canada⁷ to determine the maximum duration. In January 2022 this was 6.5%.

Each EI special benefit is payable for a specified maximum duration. Sickness benefits are payable for up to 15 weeks, family caregiver benefit for children can be paid for up to 35 weeks, family caregiver benefit for adults can be paid for up to 15 week, and compassionate care benefits can be paid for up to 26 weeks. EI maternity and parental benefits are available to across Canada except in the province of Quebec, which has its own maternity and parental benefits plan. EI maternity benefits can be paid for up to 15 weeks.

EI standard parental benefits can be paid for up to 40 weeks when parents share benefits (no parent can access more than 35 weeks). EI extended parental benefits can be paid for up to 69 weeks when parents share benefits (at a lower rate). No parent can access more than 61 weeks.⁸

Under the EI program, self-employed fishers are separated into two distinct qualifying periods: summer and winter fishing. Fishers who are active in both seasons can establish

⁷ Source: CANSIM - Tableau: 14-10-0287-01 (formerly CANSIM 282-0087) available at Statistics Canada - <http://www5.statcan.gc.ca/cansim/>

⁸ TaxBEN does not model maternity or disability benefits for Canada.

two claims for EI fishing benefits in a single year. All fishers who qualify for the program are entitled to up to 26 weeks of benefits per benefits period.⁹

COVID-19 measures: Temporary Changes to the EI Program

Enhanced Employment Insurance Program

In response to the COVID-19 pandemic, in April 2020 the Government of Canada introduced the Canada Emergency Response Benefit (CERB). The CERB provided a monthly payment to eligible workers and the self-employed, who lost their income due to COVID-19. As part of the Canada's COVID-19 Economic Response Plan, the Government transitioned from the CERB to a simplified EI program, which was in effect from September 27, 2020 to September 25, 2021. Those changes were made to facilitate access to EI regular and special benefits, and to provide up to 50 weeks of regular benefits.

Subsequently, Budget 2021 introduced changes to make EI more accessible and simple between September 26, 2021 and September 24, 2022 by maintaining uniform access to EI benefits across all regions and all types of benefits.

Temporary Changes to EI

For a period of one-year the following measures will continue be in place:

Extending EI Simplification Measures

- The simplification measures allow claimants to start receiving EI benefits sooner by simplifying rules around the treatment of severance, vacation pay, and other monies paid on separation to support multiple job holders and those who switched jobs to improve their situation by insuring that all insurable hours and employment count towards a claimant's eligibility, as long as their last job separation is valid.

Common 420-Hour Entrance Requirement

- Maintains uniform access to EI benefits across all regions, including through a 420-hour entrance requirement for regular and special benefits.

Minimum EI Entitlement

- Ensured that EI regular benefit claimants will receive a 14-week minimum entitlement, including in regions with low unemployment rates where they would not be eligible under permanent EI rules.

Extension of the EI Seasonal Claimant Project (from September 26, 2021 to October 29, 2022)

- Provided extra weeks of regular benefits for seasonal workers. This measure will be on a temporary basis, starting on September 26, 2021 and ending on October 29, 2022 and will enable eligible workers in regions with highly seasonal economies (i.e., 13 specific regions in Atlantic Canada, Quebec, and Yukon) to continue to access up to five additional weeks of EI regular benefits in their off-season.

⁹ TaxBEN does not model self-employment and so does not model benefits for self-employed fishers.

2.1.4. Means test

The benefit is not means-tested.

2.1.5. Tax treatment

Recipients of EI benefits pay income taxes on benefits received, but they are not subject to SS contributions. EI Beneficiaries whose net income exceeded CAD 75 375 in 2022 have to repay the lesser of 30% of the total regular or fishing benefits received in that taxation year or 30% of the income above that threshold. This provision does not apply to those who have not received EI regular or fishing benefits in the ten years prior to the taxation year in question. First time claimants, as well as special benefits claimants, are exempt from this repayment provision.¹⁰

2.1.6. Interactions with other components of the tax-benefit system

No information.

2.1.7. Combining benefit receipt and employment/starting a new job

On August 8, 2018, the previously temporary Working While on Claim (WWC) became permanent. The WWC reduces EI benefits by 50 cents for every dollar earned, up to a threshold of 90% of the weekly insurable earnings used to calculate the EI benefit amount. Earnings above this threshold are deducted dollar for dollar from EI benefits. If benefits are reduced to zero for a week, that week of entitlement is kept by the claimant for use in the benefit period. A regular benefit period is usually 52 weeks and unused weeks are not saved past this time. Insurable hours “reset” at the end of a claim, and an individual must accumulate enough insurable hours in a new job to qualify for another EI claim.

2.2. Unemployment assistance

Employment Insurance provides a number of Employment Benefits and Support Measures (EBSMs), under Part II of the EI Act, which help unemployed workers get back to work as quickly as possible. These include:

- Long-term employment benefits available only to unemployed EI clients such as Skills Development benefits, Self-employment Assistance, Targeted Wage Subsidies and Job Creation Partnerships.
- Short-term interventions such as Employment Assistance Services which includes counselling and group services that are available to all unemployed Canadians.

These benefits are not modelled in TaxBEN.

COVID-19 measures (Not currently implemented in TaxBEN model)

2.3. Canada Recovery Benefit

For those who may not be eligible for EI regular benefits, such as the self-employed, the Government of Canada introduced the Canada Recovery Benefit (CRB), which was

¹⁰ TaxBEN does not model unemployment benefit histories, and so this repayment provision is not included in the model.

available from September 27, 2020 to October 23, 2021, to support Canadians who were not eligible for EI and were not employed or self-employed due to COVID-19, or had their employment/self-employment income reduced by at least 50% due to COVID-19.

2.3.1. Entitlement and eligibility conditions

An individual was eligible if they were not employed or self-employed for reasons related to COVID-19, or if they had a 50% reduction in average weekly income compared to the previous year. Other eligibility conditions included:

- Earned at least CAD 5,000 in 2019, 2020, or in the 12 months before the date they applied from any of the following sources:
 - employment income (total or gross pay)
 - net self-employment income (after deducting expenses)
 - maternity and parental benefits from EI or similar QPIP benefits
- Aged 15 and older, residing in Canada and having a Social Insurance Number.
- Not eligible for EI benefits.
- Not having applied or in receipt of any of the following supports:
 - Canada Recovery Sickness Benefit (CRSB)
 - Canada Recovery Caregiving Benefit (CRCB)
 - short-term disability benefits
 - Employment Insurance (EI) benefits
 - Québec Parental Insurance Plan (QPIP) benefits
- Not quit a job or reduced work hours voluntarily on or after September 27, 2020, unless it was reasonable to do so.
- Were seeking work during the period, either as an employee or in self-employment.
- Not turned down reasonable work during the 2-week period for which applying for benefits.
- Not self-isolating or in quarantine due to international travel.

2.3.2. Benefit amounts

The CRB provided a weekly benefit amount of \$500 paid for up to 42 weeks. Claimants who had already received CRB payments for 42 weeks and new CRB claimants as of July 18, 2021 received a weekly benefit of \$300. The maximum number of weeks that CRB claimants could receive was 54 weeks.

2.3.3. Benefit Duration

Each CRB eligibility period was a specific 2-week period. When an individual applied, they received a CAD 1,000 (CAD 900 after taxes withheld) or CAD 600 (CAD 540 after taxes withheld) payment depending on the period that they applied for.

The CRB did not renew automatically. Individuals were required to apply for each 2-week period separately. Individuals could apply for up to 27 periods (54 weeks) between

September 27, 2020 and October 23, 2021. The periods did not have to be taken consecutively.

Individuals could also apply for benefits retroactively for any period up to 60 days after that period had ended.

2.3.4. Means test

No information

2.3.5. Tax treatment

A 10% tax was applied at source. As such, a CAD 1,000 benefit was taxed 10%. This tax was applied at each 2-week benefit period.

In addition, individuals earning more than CAD 38,000 net income in the calendar year, needed to reimburse some or all of the benefit at tax time. These individuals had to reimburse CAD 0.50 of the CRB for every dollar of net income earned above CAD 38,000 on their income tax return. Individuals did not have to reimburse more than they received that year.

2.4. Canada Recovery Sickness Benefit (CRSB)

2.4.1. Entitlement and eligibility conditions

The benefit is available to residents in Canada who were present for the period in which they were unable to work and:

- Are at least 15 years of age on the first day of the period for which they are applying for the benefit;
- Have a valid Social Insurance Number (SIN);
- Are employed or self-employed at the time of the application;
- Earned at least \$5,000 in 2019 or 2020, 2021, or in the 12 months preceding the day of their application;
- Are not in receipt of paid leave during the period claimed; and
- Are unable to work for at least 50% of the time that they would have otherwise worked or devoted to their work in the week for which they claim the benefit, because:
 - They are sick with or may have contracted COVID-19; or,
 - They have isolated themselves on the advice of their employer, a medical practitioner, a nurse practitioner, a person in authority, a government or a public health authority for reasons related to COVID-19; or,
 - They have underlying conditions, are undergoing treatments or have contracted other sicknesses that, in the opinion of a medical practitioner, nurse practitioner, person in authority, government or public health authority, would make them more susceptible to COVID-19.

Workers are not required to have a medical certificate to qualify for the benefit. Workers cannot claim the Canada Recovery Sickness Benefit and receive other paid sick leave for the same benefit period.

2.4.2. Benefit amounts

The CRSB provides a benefit amount of CAD 500 per week, for up to six weeks (available in six one-week periods).

2.4.3. Benefit duration

Benefits are paid for up to six weeks, effective from September 27, 2020 to May 7, 2022.

On December 17, 2021, the Government of Canada extended the CRSB by an additional 2 weeks, bringing the benefit from 4 to 6 weeks.

2.4.4. Means test

None

2.4.5. Tax treatment

The CRSB is taxable income pursuant to subparagraph 56(1)(r)(iv) of the Income Tax Act as “financial assistance provided under a program established by a government, or government agency, in Canada that provides income replacement benefits similar to income replacement benefits provided under a program established under the Employment Insurance Act.” Interactions with other components of the tax-benefit system.

The CRA will apply a flat 10% deduction at source for the CRSB. The 10% tax withheld at source may not be all the tax individuals need to pay. When they complete their personal income tax return, they may need to pay more (or less), depending on how much income they earned. Applicants must report the CRSB payments that they receive as income when they file their personal income tax return

2.4.6. Interactions with other components of the tax-benefit system

No information

2.4.7. Combining benefit receipt and employment/starting a new job

Workers must be employed or self-employed at the time of the application and cannot claim the CRSB and receive other paid sick leave or any other benefit for the same benefit period.

2.5. Canada Recovery Caregiving Benefit (CRCB)

2.5.1. Entitlement and eligibility conditions

The closure of schools, daycare and day program facilities to prevent the spread of COVID-19 has meant that many Canadians have been unable to work because they needed to provide care to children or support to family members who require supervision.

The benefit is available to residents in Canada who were present for the period in which they were unable to work and:

- Are at least 15 years of age on the first day of the period for which they are applying for the benefit;
- Have a valid Social Insurance Number (SIN);
- Are employed or self-employed at the time of the application;
- Earned at least \$5,000 in 2019, 2020, 2021, or in the 12 months preceding the day of their application;
- Are not in receipt of paid leave during the 1-week period claimed; and
- Are unable to work for at least 50% of the time that they would have otherwise worked or devoted to their work in the week for which they claim the benefit, because they had to care for a child under the age of 12 or another family member who requires supervised care:

- Because their school, daycare, day program, or facility that they normally attend is unavailable, closed or open only certain times or for certain individuals; or
- Because the care services or the person that usually cares for the child or family member is not available due to COVID-19; or,
- Because they are sick and/or have been directed to quarantine for reasons related to COVID-19; or,
- Because they are at high risk of serious health complications if they contracted COVID-19.

2.5.2. Benefit amounts

CRCB recipients receive CAD 500 per week, available in 44 one-week periods.

2.5.3. Benefit duration

Benefits are available for up to 44 weeks, effective from September 27, 2020 to May 7, 2022.

A household is entitled to a maximum of 44 weeks of the Canada Recovery Caregiving Benefit. If two or more persons reside in the same household, the benefit can be shared among eligible workers but only one of them may be paid a Canada Recovery Caregiving Benefit for any particular week.

On December 17, 2021, the Government of Canada increased the number of weeks available under the CRCB by 2 weeks, extending the maximum duration of benefits through regulation from 42 weeks up to 44 weeks.

2.5.4. Means test

None

2.5.5. Tax treatment

The CRCB is taxable income pursuant to subparagraph 56(1)(r)(iv) of the Income Tax Act as “financial assistance provided under a program established by a government, or government agency, in Canada that provides income replacement benefits similar to income replacement benefits provided under a program established under the Employment Insurance Act.” Interactions with other components of the tax-benefit system.

The CRA will apply a flat 10% deduction at source for the CRCB. The 10% tax withheld at source may not be all the tax individuals need to pay. When they complete their personal income tax return, they may need to pay more (or less), depending on how much income they earned. Applicants must report the CRCB payments that they receive as income when they file their personal income tax return.

2.5.6. Interactions with other components of the tax-benefit system

No information

2.5.7. Combining benefit receipt and employment/starting a new job

To be eligible for the CRCB individuals must have a minimum 50% reduction in scheduled work per week because the childcare centers/schools must be closed or not available to them due to COVID-19 or the child must be sick and/or directed to quarantine by a medical professional. Individuals cannot receive the Canada Recovery Caregiving Benefit for the

same period in which you are getting any other paid benefits, including EI Benefits or paid leave.

2.6. Canada Worker Lockdown Benefit (CWLB)

2.6.1. Eligibility

The Canada Worker Lockdown Benefit (CWLB) gives temporary income support to employed and self-employed people who cannot work due to a designated COVID-19 lockdown. The CWLB became available to some regions on October 24, 2021 and is currently available until May 7, 2022. An individual residing in Canada is eligible for the CWLB if:

- Are at least 15 years old
- Have a valid SIN
- Did not receive any EI, CRSB, CRCB, QPIP or short-term disability benefits for the same period
- Earned at least \$5,000 in 2020, 2021 or in the 12 months before the date of application
- Filed a 2020 tax return
- A region you live, work or provide a service is designated as a COVID-19 lockdown region
- A designated lockdown has resulted in job loss and unemployment, inability to continue self-employment work or a 50% reduction in average weekly income compared to the previous year
- Did not quit job, voluntarily stop working, turn down reasonable work, refuse to return to work or fail to resume self-employment when possible
- Received the COVID-19 vaccine or it is not required to continue work
- Not self-isolating or in quarantine due to international travel

2.6.2. Benefit amounts

Eligible recipients could receive CAD 300 (CAD 270 after taxes), available in one-week periods.

2.6.3. Benefit duration

The CWLB is available only when a region is designated as a COVID-19 lockdown region¹¹.

2.6.4. Means test

No information

2.6.5. Tax Treatment

A 10% tax is applied at source. As such, a CAD 300 benefit is taxed 10% and reduced to CAD 270. This tax is applied at each 1-week benefit period.

2.6.6. Interactions with other components of the tax-benefit system

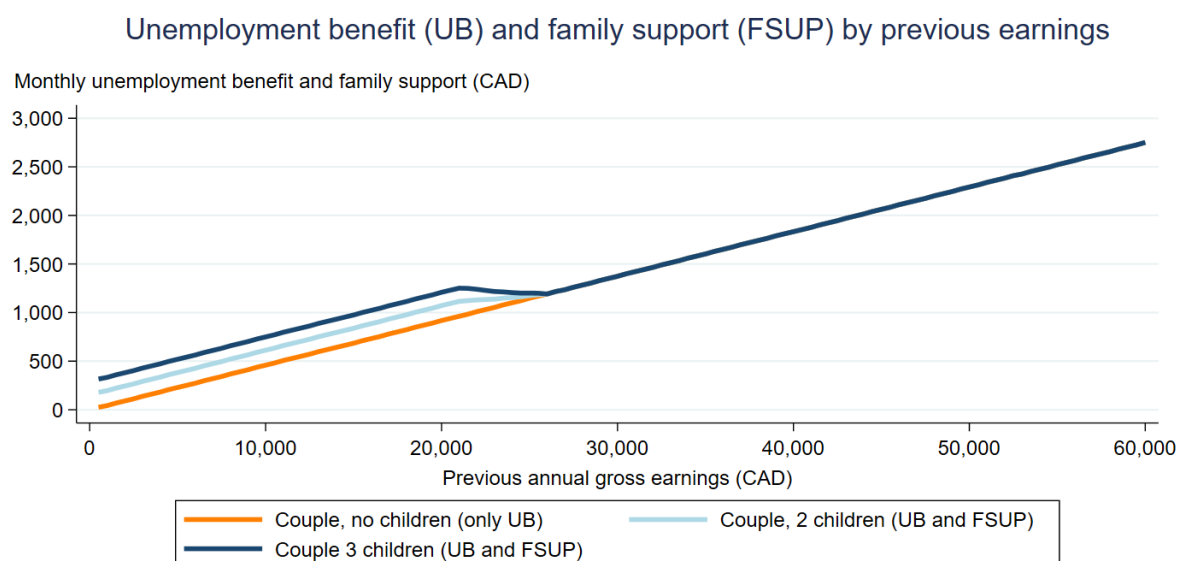
No information

¹¹ <https://www.canada.ca/en/revenue-agency/services/benefits/worker-lockdown-benefit/cwlb-regional-lockdowns.html>

2.6.7. Combining benefit receipt and employment/starting a new job

To be eligible for the CWLB you must have lost a job and be unemployed, unable to continue self-employment work, or had a minimum 50% reduction in average weekly income compared to the previous year. You cannot receive EI, CRSB, CRCB, QPIP or short term disability benefits for the same period.

Figure 1 – Unemployment Benefits by previous gross earnings



Note: All adults are 40 years old. Children, if present are 4 and 6. Spouse does not work. Previous long and continuous employment record assumed.

3. Social assistance and housing benefits

3.1. Social Assistance (Ontario Works)

Variable names: [\[SA\]](#)

This is a non-contributory, means-tested and non-taxable benefit.

Social assistance provides financial assistance to cover the cost of basic living requirements, and in-kind goods and services, for an individual or family when all other financial resources have been exhausted.

Social assistance (or welfare) is administered by the provinces and territories, which set their own rules and payment rates. The Province of Ontario's system for providing social assistance is used in this report.

3.1.1. Eligibility conditions

Social assistance is a "needs-tested" benefit. If the assets of an applicant's household are within allowable limits and their non-exempt income is lower than the financial assistance that would be provided under social assistance, the household qualifies. Where there is a budgetary surplus that is insufficient to cover the cost of a special need that is approved by welfare authorities, social assistance may be granted to cover the special need only. Each jurisdiction defines assets, income and needs in its social assistance legislation.

Eligible employable persons are actively encouraged to pursue, accept, and retain any reasonable offer of employment or retraining as an initial and continuing condition of eligibility for social assistance. Thus, many jurisdictions offer employment services and training opportunities in combination with financial assistance. Should a recipient choose not to pursue employment or retraining, he/she may be subject to penalties ranging from a specified reduction in benefits over a prescribed period of time to the full cancellation of benefits.

To ensure that those who successfully leave social assistance for employment are better off working, a number of provinces and territories have introduced earned income exemptions or working income supplements.

As a condition of continuing eligibility for assistance, beneficiaries must report immediately any change in the circumstances of their household that would affect their entitlement to assistance. In addition, some jurisdictions require that long-term social assistance clients be reviewed every year, and more frequently for short-term clients.

3.1.2. *Benefit amount*

The total payment amount consists of a basic personal allowance, a shelter allowance to assist in the payment of (total actual) housing costs up to a maximum in Ontario and, in some jurisdictions, allowances for regularly-recurring approved special needs (e.g., diabetic food allowance).

Shelter allowances are set by provincial governments to reflect actual costs within their jurisdictions and are provided up to a maximum amount in Ontario. However, in New Brunswick and Quebec, social assistance benefits are paid as a “global” benefit, and clients are responsible for apportioning the allowance to shelter and other needs as they see fit.

In Ontario, there are two major social assistance programs: Ontario Works, which provides income and employment assistance for people who are in temporary financial need; and the Ontario Disability Support Program, designed to meet the unique needs of people with disabilities who are in financial need, or who want and are able to work and need support (not modelled). This section is based on the Ontario Works program.

Monthly Ontario Works rates, in CAD

Effective October 2018 (still valid 1 January 2022) (basic allowance + maximum shelter allowance)

Family structure	Single	Couple
No children	733 (343+390)	1136 (494+642)
One child aged 0 - 17	1002 (360+642)	1191 (494+697)
Two children aged 0 - 17	1057 (360+697)	1250 (494+756)

The maximum basic needs allowance rates are based on the presence of a spouse, the number of members in the household and the number of children in the household.

In Ontario, when childcare is used, a deduction can be made on the reference income for the calculation of social assistance. In 2022, this deduction is set at the actual cost of licensed childcare per child and a maximum of CAD 600 per month, per child if unlicensed child care is used.

3.1.3. *Benefit duration*

Benefits are paid on a monthly basis in Ontario as long as there is a need, i.e., as long as household assets are within allowable limits and non-exempt income is insufficient to cover basic needs or approved special needs, and provided that all other administrative requirements are met (e.g., job search for employable clients). There are no time limits on benefit duration in Ontario.

3.1.4. *Means test*

Effective September 1, 2013, the earnings exemption allows for up to CAD 200 per month per family member of employment earnings before social assistance benefits are reduced. Employment earnings above CAD 200 reduce social assistance benefits at a rate of 50 percent. The earnings of members of the benefit unit that are under 18 years of age or that are over 18 years of age but attend secondary or post-secondary full-time are fully exempt. The earnings disregard does not take effect until a client household has been in receipt of social assistance for three full months. In Ontario, there are some exceptions to this 3-month rule for members of the benefit unit that are under 18 years of age or that are over 18 years of age but attend secondary school on a full-time basis (for Ontario Works). For these groups, the earnings disregard takes effect once eligibility for social assistance is granted.

3.1.5. *Tax treatment*

Social assistance benefits are not taxable, but must be declared on a tax filer's income tax return.

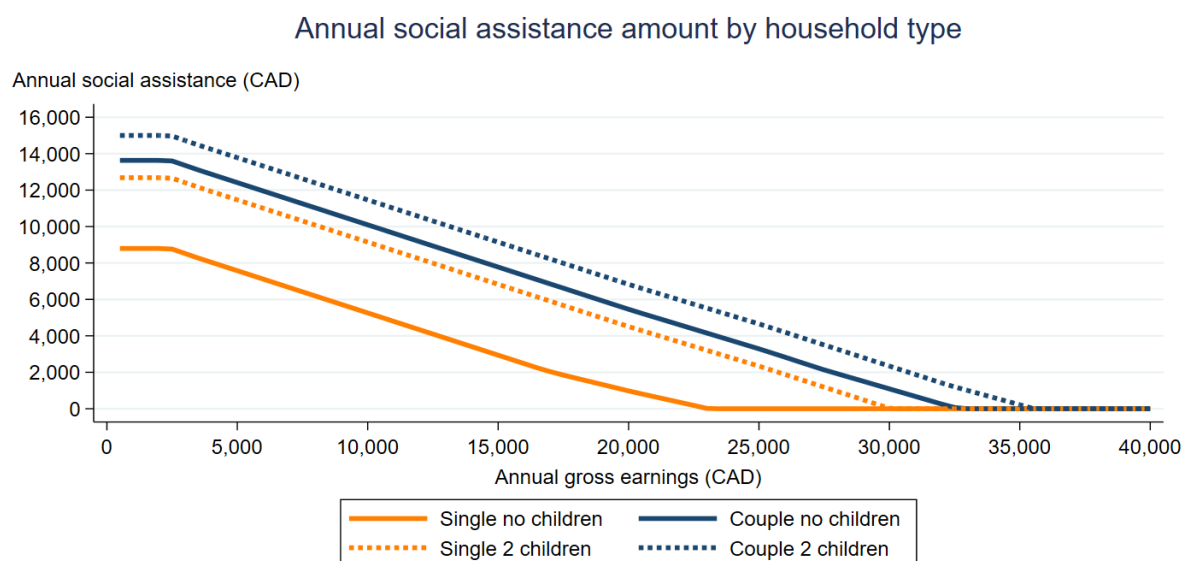
3.1.6. *Interaction with other components of the tax-benefit system*

Social Assistance benefits are included in net income when calculating the phase out of federal and provincial child benefits and sales tax credits, as well as the Canada Workers Benefit

3.1.7. *Combining benefit receipt and employment/starting a new job*

Individuals may receive money to help with costs when participating in employment or activities to help with finding and keeping a job.

Through the Extended Employment Health Benefit, current Ontario Works health benefits may also be provided to participants who exit Ontario Works to employment for a transitional period of up to 6 months or until the participant receives health benefits from their employer, with the possibility of extension for an additional 6 months in exceptional circumstances. The health benefits may include items such as prescription drugs, dental services and vision items.

Figure 2 – Social Assistance by gross earnings

Note: All adults are 40 years old. In case of couples, spouse does not work. Children, if present, are 4 and 6 years old.

3.2. Housing benefit

Canada and the representative region considered in this report (Ontario) offer a variety of housing benefits that can be received by both social assistance recipients and non-social assistance recipients, such as the Canada-Ontario Housing Benefit (COHB)¹². As these benefits have limited scope (e.g. closed application process), they are not included in the TaxBEN model.

Social Assistance (section 3.1) includes a shelter allowance.

4. Family benefits

Variable names: **[FB]**

The Canada Child Benefit (CCB) is a federal means-tested benefit for families with children under 18 years of age. As such, the CCB provides more support to families who need help the most.

Provinces and territories also provide a range of benefits and services for families with children. Both the federal government and the provinces and territories are involved in the provision of child care assistance through direct benefits, the personal income tax system and subsidies.

4.1. Family benefit on the federal level (Canada Child Benefit (CCB))

Variable names: **[CCB]**

This is a non-contributory benefit, means-tested and not taxable.

¹² [Canada-Ontario Housing Benefit \(COHB\) – City of Toronto](#)

In July 2016, the Government of Canada replaced the Canada Child Tax Benefit (CCTB), National Child Benefit Supplement (NCBS) and the Universal Child Care Benefit (UCCB) with the new CCB.

The CCB application is used to determine eligibility for a number of related provincial and territorial child benefit and credit programs. Provincial/territorial investments are made in a number of areas, including: childcare, earnings supplements and child benefits, early childhood services, and supplementary health benefits.

4.1.1. Eligibility conditions

To be eligible for the CCB, an individual must be either a Canadian citizen, a permanent resident, or a protected person (temporary residents may also be eligible provided they meet certain criteria), and must reside with the child and be the person who primarily fulfils the responsibility for the care and upbringing of the child or be a shared-custody parent.¹³

4.1.2. Benefit amount

The CCB is calculated as follows:

For the 2021-2022 benefit year, a maximum benefit of CAD 6,833 per year (CAD 569.42 per month) for each eligible child under the age of 6 and CAD 5,765 per year (CAD 480.42 per month) for each eligible child aged 6 to 17.¹⁴

The maximum benefit amount is reduced based on adjusted family net income (AFNI), which is equal to a family's net income (for both spouses, if applicable) minus any universal child care benefit (UCCB) and registered disability savings plan (RDSP) income received, plus any UCCB and RDSP amounts repaid. TaxBEN does not model RDSP income.

When AFNI is over CAD 32,028, the maximum benefit is reduced at the following rates:

For families with one eligible child:

- the reduction is 7% of the amount of AFNI greater than CAD 32,028 up to CAD 69,395;
- for income greater than CAD 69,395, the reduction is CAD 2,616 plus 3.2% of AFNI greater than CAD 69,395.

For families with two eligible children:

- the reduction is 13.5% of the amount of AFNI greater than CAD 32,028 up to CAD 69,395;
- for income greater than CAD 69,395, the reduction is CAD 5,044 plus 5.7% of AFNI greater than CAD 69,395.

For families with three eligible children:

¹³ With respect to shared custody, each parent with shared custody receives 50% of what they would have received if they had full custody of the child, calculated based on their own adjusted family net income. Shared custody is not modelled in TaxBEN.

¹⁴ More information is available at: <https://www.canada.ca/en/revenue-agency/services/child-family-benefits/canada-child-benefit-overview/canada-child-benefit-we-calculate-your-ccb.html>

- the reduction is 19% of the amount of AFNI greater than CAD 32,028 up to CAD 69,395;
- for income greater than CAD 69,395, the reduction is CAD 7,100 plus 8% of AFNI greater than CAD 69,395.

For families with four or more eligible children:

- the reduction is 23% of the amount of AFNI greater than CAD 32,028 up to CAD 69,395;
- for income greater than CAD 69,395, the reduction is CAD 8,594 plus 9.5% of AFNI greater than CAD 69,395.

4.1.3. Benefit duration

Benefits are paid monthly over a 12-month period from July 1 to June 30, based on AFNI of the previous year. For example, the 2021-22 benefit year (July 1st, 2021 to June 30th, 2022) is based on AFNI from 2020.

4.1.4. Means test

The combined AFNI reported by both spouses is used to calculate benefit entitlements. There is no asset test for CCB.

4.1.5. Tax treatment

CCB payments are not taxable.

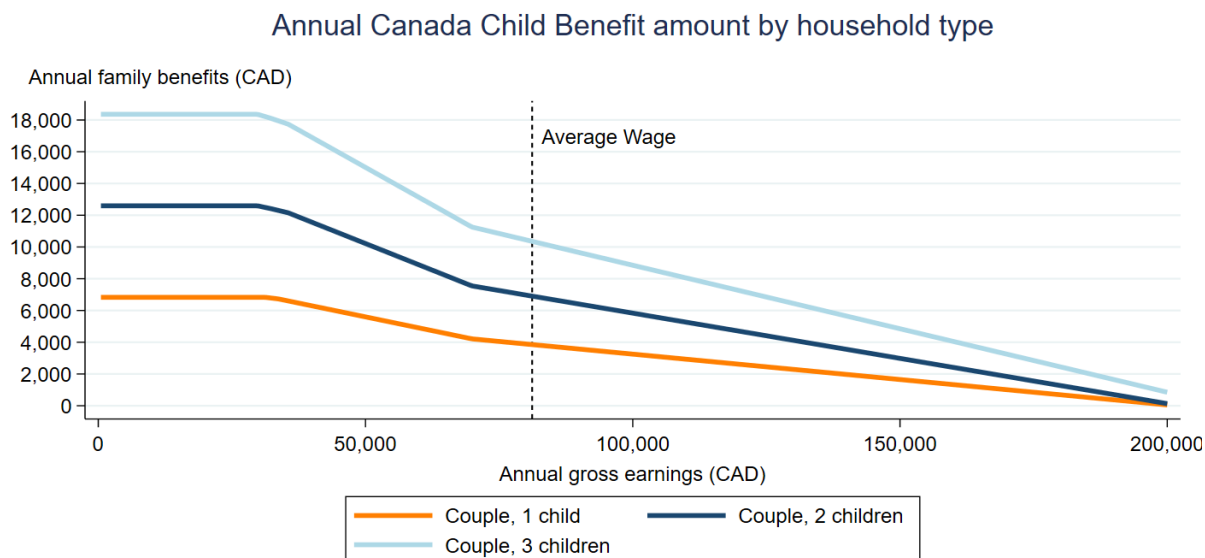
4.1.6. Interaction with other components of the tax-benefit system

Amounts received under the CCB are not taxable and are not included in the income test for the Goods and Services Tax Credit, the Canada Workers Benefit or the Ontario Child Benefit. The CCB is also not included in income for the purposes of federal income-tested programs delivered outside of the income tax system or provincial social assistance programs.

However, social assistance and Employment Insurance benefits are included in AFNI and are thus taken into account in the phase-out of the CCB.

4.1.7. Combining benefit receipt and employment/starting a new job

No information.

Figure 3 – Canada Child Benefit by gross earnings

Note: Figures for 40-year old one-earner couple. The child is aged 4 in the one-child family. In the two-child family children are aged 4 and 6, and in the three-child family they are aged 4, 6 and 8. The spouse receives SA if eligible. The CCB is phased out on the basis of adjusted family net income (AFNI), which in addition to gross earnings includes SA and Canada Pension Plan contribution deductions.

4.2. Family benefit on the regional level (Ontario Child Benefit (OCB))

Variable names: [\[OCB\]](#)

This is a non-contributory benefit, means-tested and not taxable.

In its 2007 Budget, the Government of Ontario announced the creation of the Ontario Child Benefit (OCB) to help low- to moderate-income families provide for their children.

4.2.1. Eligibility conditions

A person may qualify for the OCB, if they:

- are the primary caregiver of a child under 18;
- are a resident of Ontario;
- have filed and had assessed a previous year's income tax return, and so have their spouse or common-law partner; and
- have registered their child for the federal Canada Child Benefit (CCB).

The Canada Revenue Agency will automatically determine entitlement once the applicant's spouse/common law partner's income tax returns from the previous year are assessed and they have registered their child for the CCB.

If eligible, the OCB is included with CCB monthly payments. The OCB program is funded entirely by the Province of Ontario. The CRA administers this program on behalf of Ontario.

4.2.2. Benefit amount

For July 2021 to June 2022, eligible families receive up to CAD 122.83 per month or CAD 1,474 per year for each child under 18 years of age. Families with an adjusted family net income (AFNI) above CAD 22,504 receive a partial benefit. The amount of OCB a family is eligible for depends on their AFNI and number of children under the age of 18.

Ontario Child Benefit (OCB)	2022 (annual basis)
Maximum per child <18	CAD 1 474
Level of adjusted family net income for tax purposes where benefit starts to be reduced	CAD 22 504
Reduction rate	8%

4.2.3. Benefit duration

Benefits are paid monthly over a 12-month period from July 1, 2021 to June 30, 2022. OCB payments are delivered with the CCB in a single monthly payment.

4.2.4. Means test

For the purposes of determining how much will be received for the OCB, the same definition of AFNI is used as under the CCB (see section 4.1.2 above).

4.2.5. Tax treatment

The benefit is not taxable.

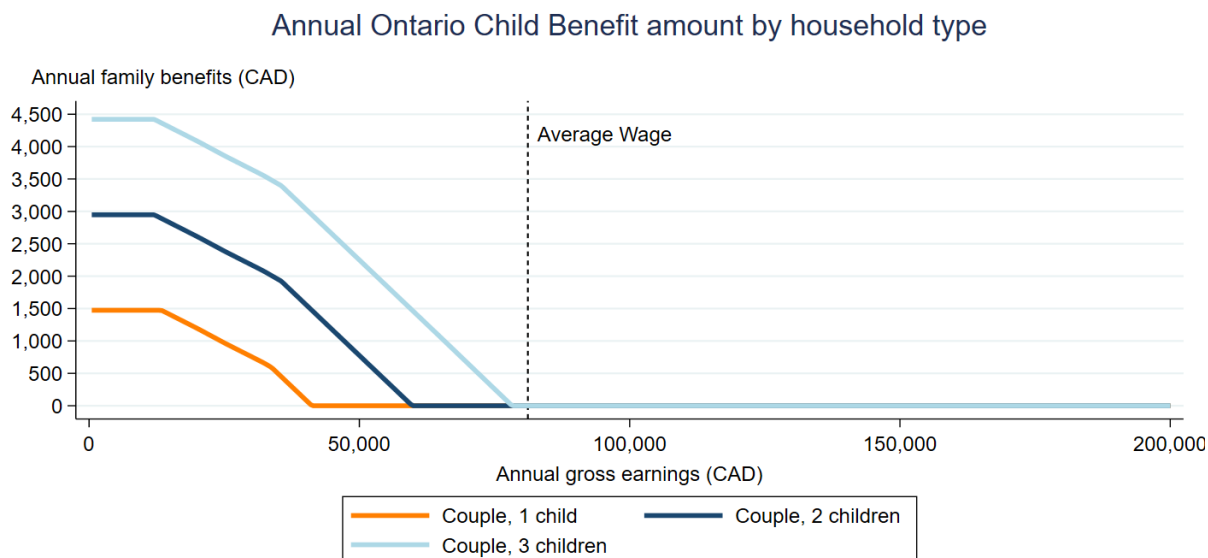
4.2.6. Interaction with other components of the tax-benefit system

Amounts received under the OCB are not taxable and are not included in the income test for the Goods and Services Tax Credit, the Canada Workers Benefit or the CCB. The OCB is also not included in income for the purposes of federal income-tested programs delivered outside of the income tax system or provincial social assistance programs.

However, social assistance and Employment Insurance benefits are included in AFNI and are thus taken into account in the phase-out of the OCB.

4.2.7. Combining benefit receipt and employment/starting a new job

No information.

Figure 4 – Ontario Child Benefit by gross earnings

Note: Figures for 40-year old one-earner couple. The child is aged 4 in the one-child family. In the two-child family children are aged 4 and 6, and in the three-child family they are aged 4, 6 and 8. The spouse receives SA if eligible. The OCB is phased out on the basis of adjusted family net income (AFNI), which in addition to gross earnings includes SA and Canada Pension Plan contribution deductions.

5. Net costs of Early Childhood Education and Care

The **reference date** for the policy rules described in this section is **January 1, 2022**.

The type of childcare provided in Canada varies across the provinces and territories. The federal government works with provinces and territories to address the unique childcare needs of each region through funding supports in bilateral agreements, and a Multilateral Early Learning and Child Care Framework.

While the Government of Canada supports provinces and territories and works to help develop childcare across the country, legislative and regulatory childcare and education decisions fall largely within provincial and territorial jurisdictions. This includes legislation and policy in areas such as the compulsory school age and internal funding arrangements.

The TaxBEN model includes the specific childcare costs and subsidies available in the province of Ontario.

The compulsory school age for most of Canada begins at six years old, with kindergarten provision beginning either at age 5 or 4 depending on the region. While kindergarten is publicly funded across Canada, provinces and territories differ by providing either full-day or half-day kindergarten at certain ages.

In Ontario, children start compulsory school in September of the calendar year they turn six. From September in the calendar year that they turn four, a child may attend publicly funded kindergarten¹⁵.

¹⁵ Children aged 5 and 6 in TaxBEN are assumed to attend kindergarten. Their costs are not modelled in TaxBEN.

5.1. Gross childcare fees

Variable names: `[CAcc_cost]`

Parent fees for regulated care vary within and across provinces and territories and depend on the age of the child in care, the type of care arrangement (centre-based, family care, home child care settings, preschool) and the hours of care (full/part time).

As laid out in Budget 2021, the Government of Canada is working with provincial, territorial, and Indigenous partners to build a Canada-wide, community-based system of quality early learning and child care, so all families have access to high-quality, affordable, flexible and inclusive early learning and child care no matter where they live. Under this system, provinces and territories will gradually decrease regulated child care fees for parents towards the goal of an average of CAD 10 per day by March 2026.

Ontario has taken a graduated approach to fee reductions that began in spring 2022. Families of eligible children in licensed child care programs enrolled in the Canada-wide Early Learning and Child Care System will see reduced fees over time:

- a fee reduction of up to 25% (to a minimum of \$12 per day) for children aged 0 to 5 retroactive to April 1, 2022
- a 50% fee reduction from 2020 fee rates (to a minimum of \$12 per day) for children aged 0 to 5 by the end of calendar year 2022
- further reductions to achieve the \$10 per day on average child care fees for children aged 0 to 5 by September 2025.

The average gross childcare fees in Ontario are as follows (CAD per day)

Centre-based child care	2021	2022
Infant Less than 18 months	73.20	77.59
Toddler 18 to less than 30 months	60.86	64.51
Preschool 30 months to less than 6 years	53.27	56.47
Kindergarten 44 months to less than 7 years	47.64	50.50

Note: 2021 is the latest data available¹⁶. Until actual data is available, fees for 2022 are estimated by the OECD by inflating the 2021 data by CPI. In TaxBEN, the Infant rate applies to 1-year-olds, the Toddler rate applies to 2-year-olds, and the Preschool rate applies to 3- and 4-year-olds.

5.1.1. Discounts for part-time usage

Part-time daycare and before- and after-school services exist at reduced costs, with the fee reduction amounts and types of arrangements varying across the provinces and territories. The TaxBEN model assumes that parents purchase childcare per day or part thereof in accordance with the daily rates outlined in the table above.

5.2. Fee discounts and free provision

Variable names: `[cc_subsidy]`

¹⁶ Source: <https://www.canada.ca/en/early-learning-child-care-agreement/agreements-provinces-territories/ontario-canada-wide-2021.html>

5.2.1. Eligibility

Families in Ontario can benefit from the Child Care Fee Subsidy for children under 12 years old (or up to 18 years old if the child has special needs) attending a licensed child care program or a school-aged child enrolled in an approved recreation program or a before- and after-school program operated directly by a school board.

Financial eligibility for the subsidy is determined by an income test and social assistance status; parents must be working, in training, or participating in employment assistance activities, unless the child has special needs.

Families receiving social assistance are deemed automatically eligible for fee subsidy and are not required to be assessed under the income test.

The subsidy for eligible families in Ontario is subject to the availability of subsidy funds within the budget of the local service system manager and space availability within a child care program. When the demand for subsidies is greater than the available funds, local service system managers may establish wait lists.

5.2.2. Amount of discount or free provision

The required parental contribution to child care fees is contingent on the income test, which is administered by municipalities, and depends on adjusted family net income (AFNI).

Families earning between CAD 20,000 and CAD 40,000 will pay 10% of income above CAD 20,000. Families earning over CAD 40,000 will pay 10% of income that is between CAD 20,000 and CAD 40,000, plus 30% of their income that is over CAD 40,000.

5.3. Child-care benefits for formal centre-based care

Variable names: `[cc_benefit]`

In July 2016, the federal government introduced the Canada Child Benefit (CCB). The CCB replaced the Canada Child Tax Benefit (CCTB), the National Child Benefit Supplement, and the Universal Child Care Benefit with one tax-free and targeted benefit (see Section 4.1).

In Ontario, when childcare is used, a deduction can be made on the reference income for the calculation of Social Assistance. In 2022, this deduction is set at the actual cost of licensed childcare and a maximum of CAD 600 per month, per child if unlicensed child care is used (see Section 3.1.2).

5.4. Child care allowance for children not using child care centers

None.

5.5. Tax concessions for childcare expenditures

The Child Care Expense Deduction is a deduction in the federal tax system that could be claimed by the person supporting the eligible child under 16 years of age (or the person with the lower net income if more than one person is supporting the eligible child).

5.5.1. Eligibility

Child care expenses are amounts paid to have someone look after an eligible child so that person or people supporting the eligible child could:

- earn income from employment;
- carry on a business either alone or as an active partner;
- attend school under the conditions identified under Educational program; or
- carry on research or similar work, for which they or the other person received a grant.

Child care expenses could be claimed for services paid to:

- caregivers providing child care services;
- day nursery schools and daycare centres;
- educational institutions, for the part of the fees that relate to child care services;
- day camps and day sports schools where the primary goal of the camp is to care for children (an institution offering a sports study program is not a sports school); or
- boarding schools, overnight sports schools, or camps where lodging is involved.

5.5.2. Maximum amount

Maximum annual childcare expense amount that could be claimed is:

- CAD 8,000 for each child under seven years of age at the end of the year;
- CAD 5,000 for each child over six years of age at the end of the year and under 16 years of age at any time during the year;
- CAD 5,000 for each child over 15 years of age throughout the year who has a physical or mental infirmity and is dependent on the taxpayer, or the taxpayer's spouse or common-law partner; or
- CAD 11,000 at any age, for each child eligible for the Disability Tax Credit (Not modelled in TaxBEN)

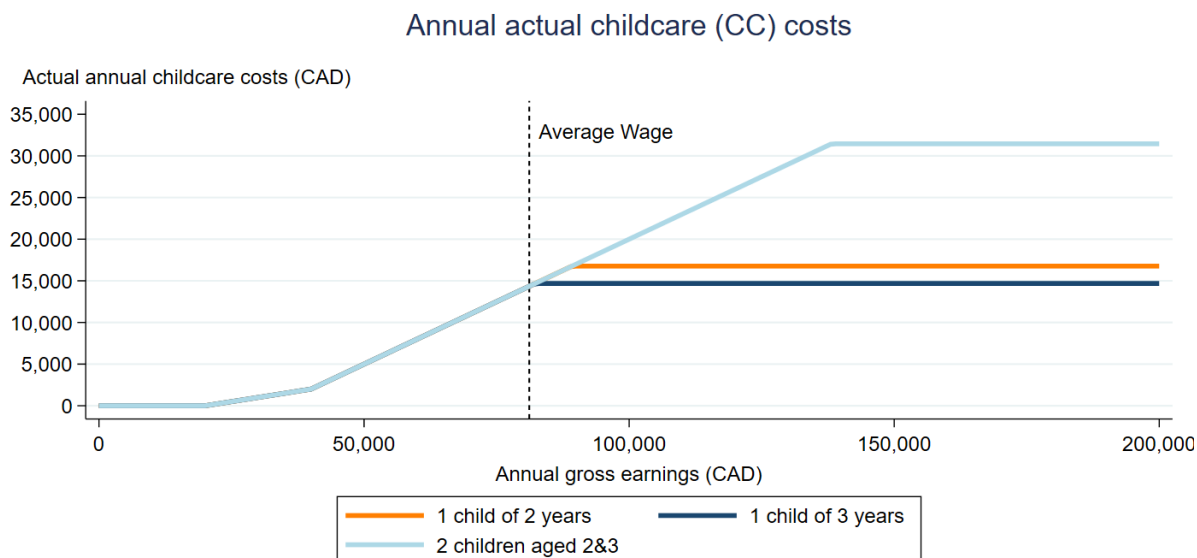
5.5.3. Variation by income

The annual child care expense amount for each child is determined with reference to the child's age, physical and mental condition.

A taxpayer's claim for child care expenses for a year cannot exceed two-thirds of the lower-income spouse's earned income for that year.

5.5.4. Impact on overall income tax calculation

The annual child care expense amounts are deducted as indicated in the maximum eligible amounts indicated in section 5.5.2.

Figure 5 – Childcare Cost by gross earnings

Note: For 40-year old single parent. Children attend childcare full-time.

6. In-work benefits

Variable names: **[IW]**

In 2007, the Government of Canada introduced an earned-income supplement, the Working Income Tax Benefit (WITB), to make work more rewarding and attractive for low-income Canadians. Budget 2018 introduced the Canada Workers Benefit a more generous and more accessible benefit that replaced the Working Income Tax Benefit starting in 2019. Budget 2021 further enhanced the CWB, extending the benefit to full-time, low-wage workers.

A number of provinces and territories have also implemented programs, which provide earned-income supplements. In addition, all Canadian provinces offer special work-related supports to social assistance clients who are joining or re-joining the labour force. These range from coverage for special work-related expenses such as clothing, transportation and, in some jurisdictions, day care, to an actual bonus for participation in work activities.

6.1. Canada Workers Benefit (CWB)

The CWB is a refundable tax credit that supplements the earnings of low-income workers.

This is a non-wastable, non-contributory benefit, means-tested and not taxable.

6.1.1. Eligibility conditions

The CWB is targeted to low- and modest-income workers. An individual is eligible for the CWB if they:

- earn working income;
- are a resident of Canada for income tax purposes throughout the year; and,

- are 19 years of age or older on December 31; the cohabiting spouse or common-law partner of another individual; or the parent of a child with whom they reside,

An individual is *not* eligible for the CWB if:

- They are enrolled as a full-time student at a designated educational institution for more than 13 weeks in the year (exception if the student has an eligible dependent),
- They are confined to a prison or similar institution for a period of 90 days or more in the year; or
- They do not have to pay tax in Canada, because they are an officer or servant of another country, such as a diplomat, or are a family member or employee of such person.

To ensure that everyone entitled to the CWB receives it, in the 2019 tax year, the CRA began automatically determining if a tax filer is eligible for the Benefit, regardless of whether they applied for it. Eligible recipients are now automatically enrolled to receive the Benefit.

6.1.2. *Benefit amount*

The CWB has two parts: a basic amount and a disability supplement.

In 2022, the basic amount provides up to CAD 1,395 for single individuals and CAD 2,403 for couples and families with children (based on income for the 2021 tax year). The benefit is phased in at a rate of 27% on working income (for both employment and self-employment) greater than CAD 3,000.¹⁷

For single individuals without children, the maximum benefit is paid if working income is between CAD 8,167 and CAD 22,944. For single individuals, the CWB is reduced at 15% on adjusted net income greater than CAD 22,944. No CWB is paid when net income exceeds CAD 32,244.

For families, the maximum benefit is paid if working income is between CAD 11,900 and CAD 26,177. For families, the CWB is reduced at 15% on adjusted family net income (AFNI) greater than CAD 26,177. No CWB is paid when family net income exceeds CAD 42,197.

A secondary earners exemption, a new feature introduced in the Government of Canada's Budget 2021, allows the second member of a couple to earn up to CAD 14,000 before that income counts towards reducing the couple's benefit.

For those eligible for the Disability Tax Credit, the CWB also provides disability supplement of up to CAD 720 (not modelled in TaxBEN).

The Canada Revenue Agency uses the following information to calculate CWB payment:

- marital status - eligible spouse,
- province or territory of residence,
- earned working income,
- adjusted family net income,
- eligible dependants, and
- eligibility for the Disability Tax Credit.

¹⁷ More information is available here: <https://www.canada.ca/en/revenue-agency/services/child-family-benefits/witb-amount.html>

The maximum basic CWB amount will vary for residents of Quebec.

The basic CWB may differ for residents of provinces or territories that sign reconfiguration agreements with the federal government to make specific changes to the design of the benefit. As of January 2022, Alberta, Quebec and Nunavut have agreements that reconfigure the CWB for their residents.

6.1.3. Benefit duration

The CWB is a refundable tax credit and individuals must submit an income tax return to receive the benefit. As a result, the CWB is paid once a year as part of the annual tax refund. The 2022 Fall Economic Statement proposed to automatically provide automatic advance payments of the CWB to those who received the benefit in the prior year. Any CWB that they are entitled to and do not receive as advance payments would be paid when the income tax return is assessed.

6.1.4. Means test

The CWB is means tested as described in section 6.1.2 above.

6.1.5. Tax treatment

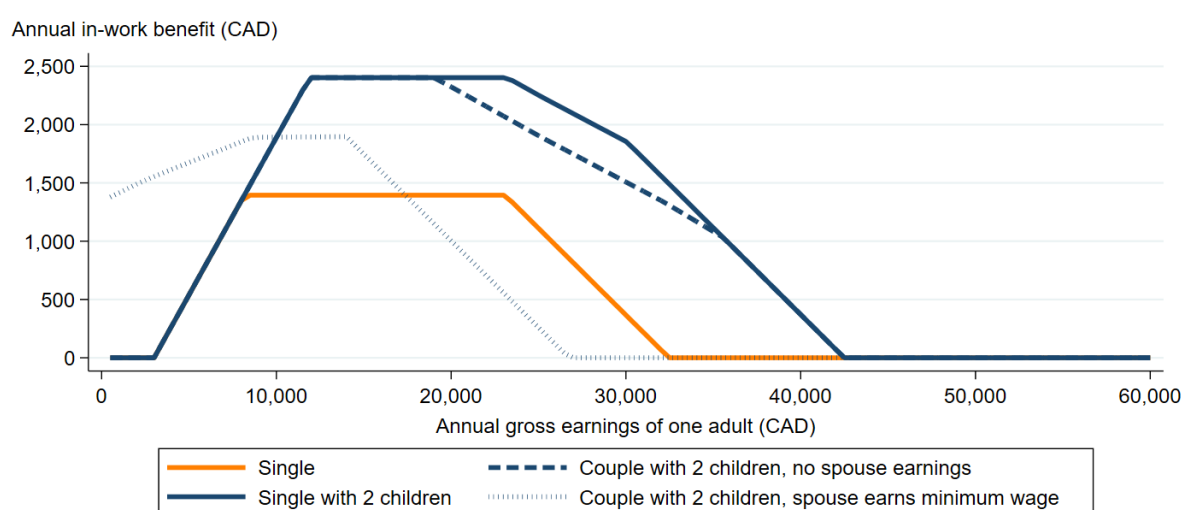
The benefit is not taxable.

6.1.6. Interaction with other components of the tax-benefit system

The combined adjusted net income reported by both spouses, if applicable (that is, AFNI, as described in section 4.1.2 above), is used to phase out benefit entitlements.

Social assistance and Employment Insurance benefits are included in AFNI, thus contributing to the CWB phase-out. CWB payments are excluded from the income test conducted by provincial social assistance programs as well as other federal and provincial programs including child benefits and sales tax credits.

Figure 6 – Canada Workers Benefit by gross earnings of one adult



Note: Children where present are aged 4 and 6. The family receives SA if eligible. The CWB is phased out on the basis of adjusted family net income (AFNI), which in addition to gross earnings includes SA and Canada Pension Plan contribution deductions.

7. Social security contributions and payroll taxes

7.1. Social security contributions

7.1.1. Contributions payable by employees and benefit recipients

Pensions

All employees are eligible for coverage under the Canada Pension Plan (Québec Pension Plan in the province of Québec). For 2022, all employees are required to contribute to the Canada Pension Plan (CPP) at a rate of 5.7% of income up to a maximum contribution of CAD 3,499.80 (the contribution rate is 6.15% of income for the Québec Pension Plan (QPP) up to a maximum contribution of CAD 3,776.10). Income subject to contributions is earnings (wages and salaries) less a CAD 3,500 basic exemption. The maximum contribution of CAD 3,499.80 is reached at an earnings level of CAD 64,900 i.e. $(\text{CAD } 64,900 - \text{CAD } 3,500) \times 0.0570 = \text{CAD } 3,499.80$. For employees, contributions to the base component of the CPP or QPP (contribution rates of 4.95% and 5.40%, respectively) give rise to a tax credit equal to 15% of the contributed amount. The additional contributions toward the CPP and QPP enhancements (0.75% in 2022) are deductions from taxable income. Employers are also required to contribute to the Canada Pension Plan on behalf of their employees at the same rate and can deduct their contributions from taxable income.

Not modelled: Self-employed persons must also contribute to the CPP (QPP in the province of Québec) on their own behalf. However, the self-employed are required to contribute at the combined employer/employee rate of 11.4% of earnings up to a maximum of CAD 6,999.60 (12.30% of earnings up to a maximum of CAD 7,552.2 in Quebec). The self-employed can deduct the employer portion of their contribution from income, equal to 50% of the total contribution or CAD 3,499.80 (3,776.10 in Quebec), as well as the enhancement component of the employee portion. The remaining amount, representing the base component of the employee portion, is then claimed as a tax credit at 15%.

Sickness Benefit (not modelled in TaxBEN)

The Government of Canada's Employment Insurance (EI) program offers a sickness benefit that provides up to 15 weeks of short-term income replacement. This benefit is available to eligible claimants who are unable to work because of illness, injury or quarantine to allow them time to restore their health so that they can return to work. Workers who have access to employer paid leave need to exhaust their benefits before accessing the EI sickness benefit. Legislation extending the sickness benefit from 15 to 26 weeks was passed. This measure is expected to come into force by the end of the summer of 2022.

The Ontario Health Premium

All provinces have provincially-administered health care insurance plans. Three provinces, Quebec, Ontario, and British Columbia, levy health insurance premiums on individuals separately from the personal income tax to help finance their health programmes.

In the case of Ontario, the premium is determined based on taxable income. Individuals who earn up to CAD 20 000 are exempt. The premium is phased in with a number of different rates to a maximum of CAD 900 for taxable income levels greater than

CAD 200 600. The following table provides further details on the structure that is applicable in 2022.

Taxable Income	Fixed Component (CAD)	Variable Component
0 to CAD 20 000	0	
CAD 20 000 to CAD 25 000	0	6% of the taxable income in excess of CAD 20 000
CAD 25 000 to CAD 36 000	300	
CAD 36 000 to CAD 38 500	300	6% of the taxable income in excess of CAD 36 000
CAD 38 500 to CAD 48 000	450	
CAD 48 000 to CAD 48 600	450	25% of the taxable income in excess of CAD 48 000
CAD 48 600 to CAD 72 000	600	
CAD 72 000 to CAD 72 600	600	25% of the amount of taxable income in excess of CAD 72 600
CAD 72 600 to CAD 200 000	750	
CAD 200 000 to CAD 200 600	750	25% of the amount of taxable income in excess of CAD 200 000
Over CAD 200 600	900	

Unemployment

In general, all employees may receive Employment Insurance, provided that they meet the eligibility requirements. Eligibility to receive benefits is determined by insurable hours worked (with a minimum entry threshold of 420 to 700 hours, depending on region and the unemployment rate at the time the claim for benefits starts). A temporary measure is in place until September 2022, which reduces the required number of hours to a national entrance requirement of 420 hours. All workers in insurable employment are required to contribute EI premiums on earnings up to the maximum insurable earnings threshold¹⁸. This threshold is indexed to the annual percentage increase in the average weekly earnings¹⁹ of in Canada.

In 2022, employees outside Quebec are required to contribute at the rate of 1.58% of insurable earnings. The earnings threshold is set at CAD 60,300. The maximum employee contribution of workers is therefore CAD 952.74. Employment insurance contributions give rise to a tax credit equal to 15% of the amount contributed. Employers are also required to contribute to the plan.

In 2022, Quebec workers are required to contribute to Employment Insurance at a rate of 1.20%; the same earnings threshold applies. Therefore, the maximum employee contribution of workers in Quebec is CAD 723.60. Quebec workers also contribute to

¹⁸ This is called the Maximum Insurable Earnings (MIE).

¹⁹ Industrial aggregate covers all industrial sectors except those primarily involved in agriculture, fishing and trapping, private household services, religious organisations and the military personnel of the defence services.

the Quebec Parental Insurance Plan (QPIP). In Quebec, the QPIP premium rate is set at 0.494% of insurable earnings; maximum insurable earnings for 2022 are CAD 88,000. For a Quebec resident, the maximum employee contribution (Employment Insurance plus Quebec Parental Insurance Plan) is CAD 1,158.32.

To note, as part of the Government of Canada's COVID-19 response, the EI premium rate for 2021 and 2022 was frozen at the 2020 level in order to reduce the financial burden on workers and employers.

7.1.2. Contributions payable by employers

Pensions

Employers are required to contribute to the Canada Pension Plan on behalf of their employees an amount equal to their employees' contributions. Thus, employers also contribute at the rate of 5.70% of earnings (less the CAD 3 500 earnings exemption) to a maximum of CAD 3,499.80. For the Quebec Pension Plan, the contribution rate is 6.15% of earnings, to a maximum of CAD 3,776.10. These amounts can be deducted from their net income when determining their taxes.

Sickness Benefit

The Government of Canada's Employment Insurance (EI) program offers a sickness benefit that provides up to 15 weeks of short-term income replacement. In December 2021, legislation extending the maximum number of weeks available under EI sickness benefits from 15 weeks to 26 weeks was passed. This extension is expected to come into effect end of summer 2022. The EI program also encourages the delivery of sickness benefits by private sector employers. Employers who provide short-term disability plan coverage to their employees may be eligible to receive a reduction in their EI premiums through the EI Premium Reduction Program (PRP). The objective of the PRP is to encourage employers to continue to offer their short-term disability plan and assume the risk of the first-payer position when employees became sick. The PRP provides participating employers a premium reduction which recognizes the savings to the EI program resulting from workers using employer benefits for short-term sickness leave rather than accessing EI sickness benefits.

All provinces have provincially-administered health care insurance plans. Three provinces levy a special tax on employer payrolls to finance health services (Québec and Ontario) or health services and education (Manitoba). These payroll taxes are deductible from the employer's income subject to tax. In the case of the province of Ontario, employers pay an Employer Health Tax on the value of their payroll, tax rates varying from 0.98% on Ontario payroll less than CAD 200 000, up to 1.95% for payroll that exceeds CAD 400 000. Certain employers are eligible for a higher exemption of CAD 1 000 000.

Unemployment

Employers are also required to contribute premiums to the employment insurance program. The employer contribution is 1.4 times the employee contribution.

Premiums are adjusted for employers who provide sick pay superior to payments provided under the employment insurance regime. All employment insurance contributions are deductible from the employer's income subject to tax.

Work injury

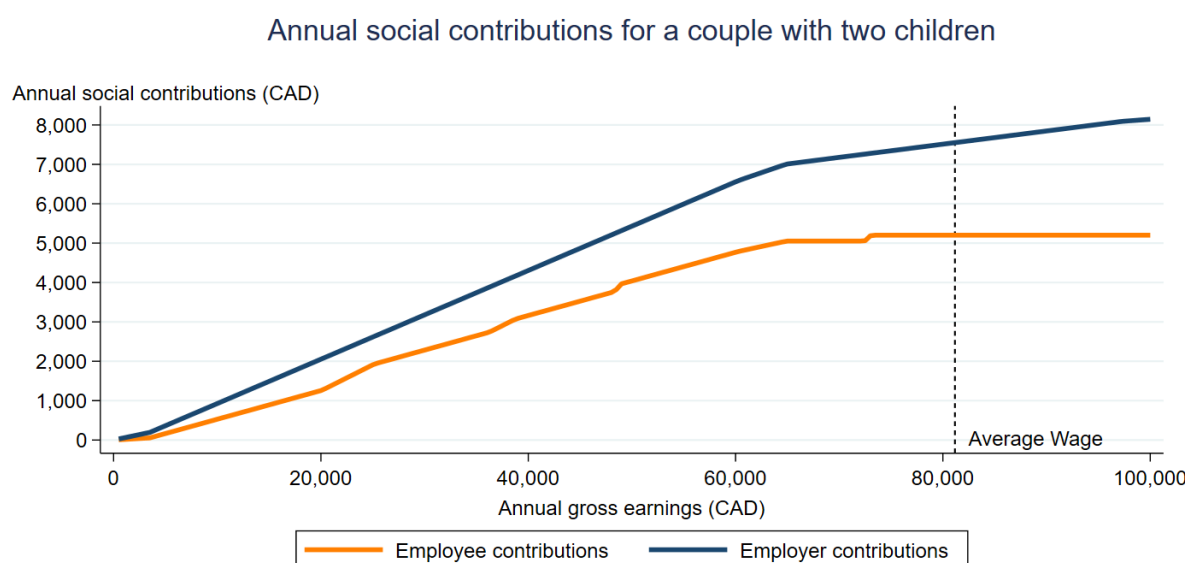
There is no national work injury benefit plan administered by the federal government. However, employers are required to contribute to a provincial workers' compensation plan which pays benefits to workers (or their families in case of death) for work-related

illness or injury. The employer contribution rates, which vary by industry and province, are related to industry experience of work-related illness and injury. Premiums are deductible from the employer's income subject to tax. In the case of Ontario, employers broadly corresponding to industry Sectors B-N inclusive pay, on average, 1.32% of the wages paid to each employee to a maximum of CAD 100 422 in 2022.

7.2. Payroll taxes

None.

Figure 7 – Social Security Contributions by gross earnings



Note: 40-year old one-earner couple with 2 children (ages 4 and 6).

8. Taxes

Variable names: **[IT]**

The federal personal income tax system in Canada is progressive, meaning that tax rates rise as taxable income rises. It also includes many deductions, exemptions, and tax credits (both refundable, i.e., non-wastable, and non-refundable i.e., wastable) which serve to reduce taxes payable.

Provinces and territories also set their own tax on personal income.

The federal personal income tax system considers personal income in two ways: it taxes personal income on an individual basis (i.e. individuals pay income tax on their own income); whereas it pays benefits to people based on family income (i.e. family benefits are calculated based on the income of both spouses).

8.1. Federal personal income tax

8.1.1. Tax allowances

-

8.1.2. Tax base

-

8.1.3. Income tax schedule (central government income tax)

Variable names: [\[F_INCTAX_s; F_INCTAX_p\]](#)

2022 Federal Income Tax Rates:

Taxable Income (CAD)	Rate (%)
0 – 50 196	15
50 197 – 100 391	20.5
100 392 – 155 624	26
155 625 – 221 707	29
221 708 and over	33

8.1.4. Tax credits

Variable names: [\[...\]](#)

- *Basic personal amount:* All taxpayers qualify for a basic personal tax credit of CAD 2 159.70 (15% of CAD 14 398) in 2022 if their annual gross income is less than the income threshold corresponding to the 29% income tax rate (CAD 155,625). Individuals with incomes above this threshold receive a declining basic personal amount, and they receive a minimum amount of CAD 1,907.92 (15% of CAD 12,719) if their earnings equal or surpass the highest income tax threshold (CAD 221,708).
- *Credit for Spouse or Eligible Dependant:* A taxpayer supporting a spouse or other eligible dependant receives a tax credit of CAD 2,159.70 (15% of CAD 14,398) which is reduced by 15 cents for each dollar of the dependant's income. Similar to the basic personal amount, individuals with incomes above this threshold receive a declining basic personal amount, and they receive a minimum amount of CAD 1,907.92 (15% of CAD 12,719) if their earnings equal or surpass the highest income tax threshold (CAD 221,708).
- For the 2021-2022 benefit year, the *Goods and Services Tax Credit* provides a relief of CAD 299 for each adult 19 years of age or older and CAD 157 for each dependent child under the age of 19. As such, an individual who is married or has a common-law partner could receive up to CAD 598 (the maximum payment for AFNI under CAD 38,892). Single tax filers without children could receive a credit of up to CAD 456. (For example, single tax filers without children and with an employment income under CAD 9,686 receive a credit of CAD 299 while those with income higher than CAD 9,686 receive an additional CAD 157 that is phased in at a rate of 2%). Single tax filers with children receive an additional CAD 157 that is not subject to phase-in. The credit received for the first dependent child of a single parent is increased from CAD 157 to CAD 299. The total amount, including the single supplement, is reduced

at a rate of five percent of AFNI over CAD 38,892. The amount is paid directly to families on a quarterly basis.²⁰

- *Social security contributions:* Taxpayers are entitled to a 15% credit of their contributions to the base components of the Canada or Quebec Pension Plans (to a maximum credit of CAD 524.97 for the Canada Pension Plan and to a maximum credit of CAD 566.42 for the Quebec Pension Plan) and their Employment Insurance premiums (to a maximum credit of CAD 952.74 outside Quebec). The Employment Insurance premium rate is lower for Quebec residents, who also pay into the Quebec Parental Insurance Plan; the maximum combined credit for a Quebec resident is CAD 1,158.32). The remaining CPP/QPP contributions (to the enhancement, a contribution rate of 0.75% in 2022) are deductions at the highest marginal tax rate.
- *Canada Workers Benefit (CWB)*, formerly the Working Income Tax Benefit: See Section 6.1
- *Canada Employment Tax Credit:* A tax credit of up to CAD 193.05 (15% of CAD 1,287) on employment income.
- *Child care expenses:* A portion of child care expenses is deductible if incurred for the purpose of earning business or employment income, studying or taking an occupational training course or carrying on research for which a grant is received. The lower-income spouse must generally claim the deduction. The amount of the deduction is limited to the least of:
 1. the expenses incurred for the care of a child;
 2. two-thirds of the lower-income spouse's earned income; and
 3. the total of the maximum dollar limits for all children: CAD 8,000 for each child who is under age seven, CAD 5,000 per child between seven and sixteen years of age and CAD 11,000 per child eligible for the Disability Tax Credit.

8.2. State and local income taxes

Variable names: [\[LOCTAX_s; LOCTAX_p\]](#)

All provinces and territories levy their own personal income taxes. All, with the exception of Quebec, have a tax collection agreement with the federal government, and thus use the federal definition of taxable income. They are free to determine their own tax brackets, rates and credits. Quebec collects its own personal income tax and is free to determine all of the tax parameters, including taxable income. In practice, its definition of taxable income is similar to the federal definition.

TaxBEN assumes the worker lives in Ontario, the most populous of the 10 provinces and 3 territories. The main features of the Ontario tax system relevant to this report are summarised below.

8.2.1. Tax allowances

-

²⁰ In 2022, the TaxBEN model includes the Goods and Services Tax Credit that relates to income earned in the 2020 tax year, and which is payable between July 2021 and June 2022.

8.2.2. Tax base

-

8.2.3. Tax Schedule

Income Bracket	Rate (%)
CAD 0 to CAD 46 226	5.05
CAD 46 226 to CAD 92 454	9.15
CAD 92 454 to CAD 150 000	11.16
CAD 150 000 to CAD 220 000	12.16
Over CAD 220 000	13.16

Provincial tax after accounting for wastable credits	Surtax rate
Amounts Exceeding CAD 4991	20% of the excess amount
Amounts Exceeding CAD 6 387	36% of the excess amount

8.2.4. Tax credits

Wastable tax credits

- A basic tax credit of CAD 562.63.
- A maximum credit of CAD 477.74 for a dependant spouse or eligible dependant that is withdrawn as the income of the spouse or eligible dependant exceeds CAD 946 and is completely withdrawn when the income of the spouse is at least CAD 10 406.
- 5.05% of contributions made to the base component of the Canada Pension Plan or Quebec Pension Plan and of Employment Insurance premiums.²¹

Non-wastable tax credits

- For the 2021-2022 benefit year, Ontario Sales Tax Credit provides a relief of up to CAD 316 for each adult and each child. It is reduced by 4% of adjusted family net income (AFNI) over CAD 24 332 for single people and over CAD 30 415 for families. Families are paid the amount directly²².
- Ontario also offers an Energy and property tax credit (OEPTC). This credit is available to renters and, in January 2022, provides a maximum of CAD 1 095 for non-seniors. Of this, CAD 243 is for the energy component and CAD 852 is for the property tax component (in addition to a base amount of 59 CAD). Seniors are eligible for an additional CAD 152, providing a total of CAD 1 247. The credit is reduced by 2% of AFNI over the same income thresholds as the Ontario Sales Tax Credit (see preceding bullet point above). For the

²¹ Note that contributions are based on location of work, while taxation is based on location of residence. TaxBEN assumed that taxpayers live in the same province that they work.

²² In 2022, the TaxBEN model includes the Ontario Sales Tax Credit that relates to income earned in the 2020 tax year, and which is payable between July 2021 and June 2022.

computation of the credit, TaxBEN assumes that property taxes are 20% of a household's rent.²³

- In 2019, the Ontario government introduced the Ontario Childcare Access and Relief from Expenses (CARE) Tax Credit. This refundable tax credit is based on the household's income as calculated for the Child Care Expense Deduction. In 2022, the CARE tax credit amount is equal to the household's eligible child care expenses multiplied by applicable income-dependent the credit rate²⁴.

Family Income	CARE Rate Calculation
Up to CAD 20 000	75%
Greater than CAD 20 000 to CAD 40 000	75% minus 2pp for each CAD 2 500 (or part thereof) above CAD 20 000
Greater than CAD 40 000 to CAD 60 000	59% minus 2pp for each CAD 5 000 (or part thereof) above CAD 40 000
Greater than CAD 60 000 to CAD 150 000	51% minus 2pp for each CAD 3 600 (or part thereof) above CAD 60 000
Greater than CAD 150 000	0%

Tax Reduction

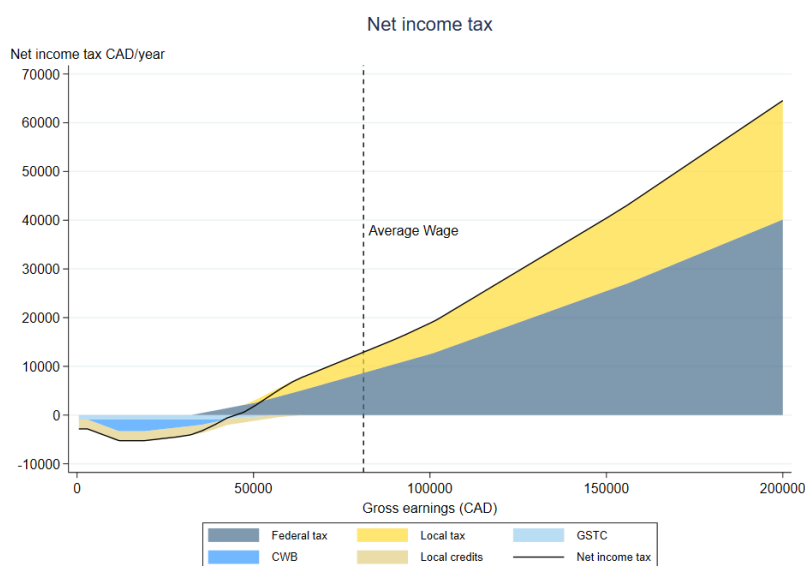
- An earner is entitled to claim a tax reduction where the initial entitlement is equal to CAD 257 plus CAD 475 for each dependent child under the age of 19. Where someone has a spouse, only the spouse with the higher net income can claim the dependent child tax reduction. If this amount is greater or equal to the liable provincial tax, then no tax is due. If the amount is less than the liable tax, then the actual tax reduction is equal to twice the initial entitlement amount less the liable tax (if this calculation is zero or negative, the reduction is equal to zero).

Ontario LIFT Credit

- Effective January 1, 2020, Ontario tax filers who have employment income will be able to claim the Low-income Individuals and Families Tax (LIFT) Credit when they file their tax returns. The credit will be equal to the lesser of CAD 850 and 5.05% of employment income. This amount is reduced by 10% of the greater of adjusted individual net income in excess of CAD 30,000 and adjusted family net income (AFNI) in excess of CAD 60,000. The resulting amount is limited to the taxpayer's personal income tax otherwise payable, excluding the Ontario Health Premium.

²³ In 2022, the TaxBEN model includes the Ontario Energy and Property Tax Credit that relates to income earned in the 2020 tax year, and which is payable between July 2021 and June 2022.

²⁴ For the 2021 taxation year, the credit amount was automatically topped up by 20 per cent.

Figure 8 – Income Taxes by gross earnings

Note: For 40-year old one-earner couple with 2 children (ages 4 and 6).

9. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for Canada in 2022 (see figure below). TaxBEN by default produces the following output: 1) net household incomes (**black line**) and 2) related income components (**coloured stacked areas**) for selected family and individual circumstances (users are free to select many of these circumstances). The model and the related web calculator is accessible from the [project website](#). The figure below shows output for a two-adult family with two children (adults are both 40 years old whereas children are 4 and 6 years old respectively) and four different scenarios:

By percentage of the average wage (**Panel A**);

By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel B**);

By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel C**);

By previous employment record (in months), for a jobseeker claiming unemployment benefits (**Panel D**).

The stacked areas show the following household income components: **GROSS** = gross earnings; **UB** = unemployment benefits; **SA** = social assistance / guaranteed minimum income benefits; **HB** = housing benefits; **FB** = family benefits; **IW** = in-work benefits; **SSC** = social security contributions; **IT** = income tax. Note that these components may be the result of the aggregation of more than one benefit/tax into a composite category. Please refer to the sections above for the benefits/taxes included in each category.

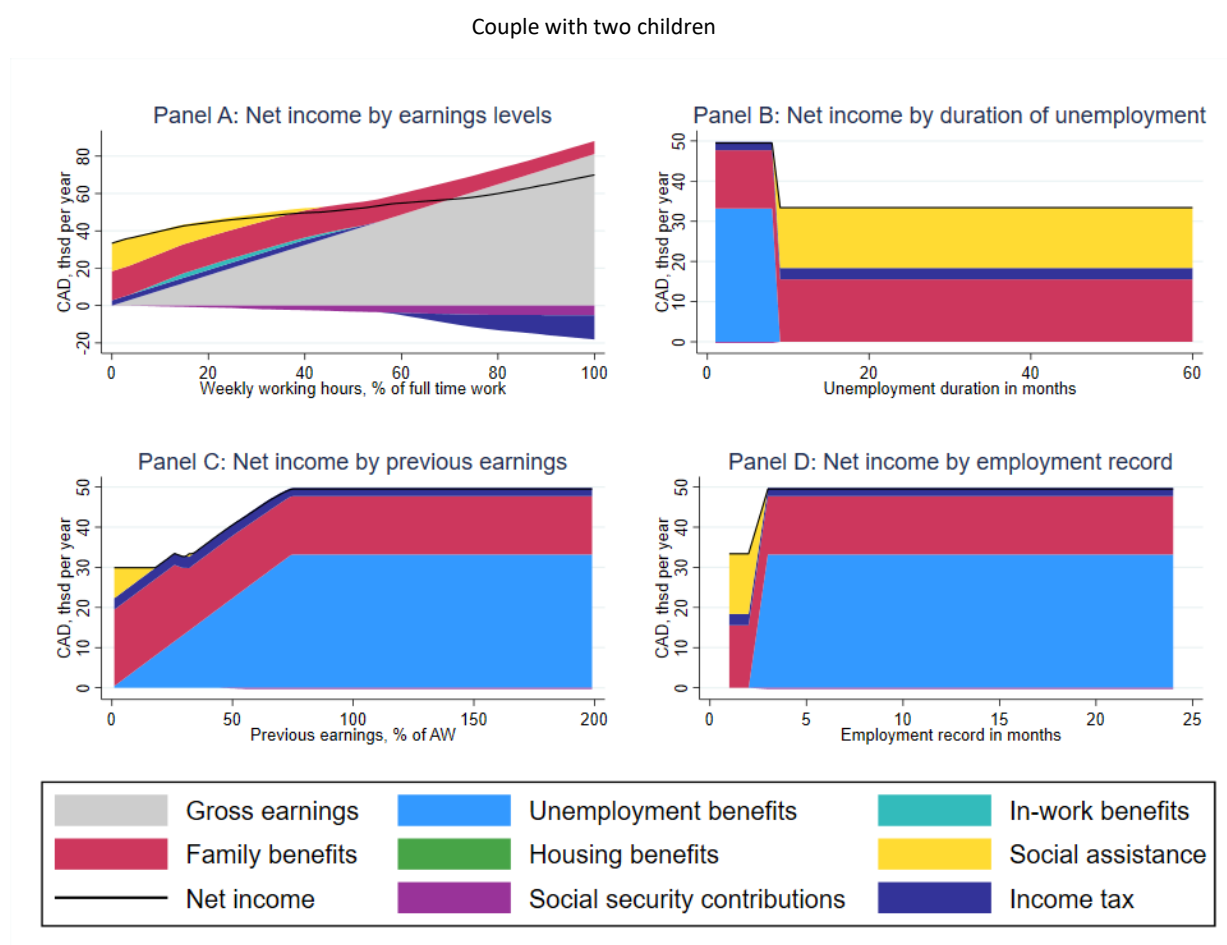
Social assistance and housing benefit supplements are assumed to be available in all the four scenarios provided that the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as

active job-search or being available for work), these requirements are assumed to be met.

Panel A assumes that one adult family member (the so-called ‘second adult’ using the TaxBEN terminology) is out of work and not eligible for unemployment benefits (e.g. because they have expired) whereas the other adult member (the so-called ‘first adult’) is employed full-time throughout the entire year at different earnings levels ranging between 0 and 200% of the average wage (AW). When earnings of the first adult are precisely 0% of the AW this person is assumed to be out of work without receiving unemployment benefits (again, e.g. because they have expired) but claiming social assistance or guaranteed minimum income benefits, as applicable.

Panels B to D assume that the second adult is out of work and not eligible to unemployment benefits whereas the first adult is also out of work and claiming unemployment benefits. In Panel B and C the first adult is assumed to have a ‘long’ employment record of 264 consecutive months before the job loss. The x-axis in Panel B measures the time of benefit receipt, starting from the first month. The x-axis in Panel C shows the amount of previous gross earnings (before any social contribution payments). Results in Panels C and D refer to the 2nd month of unemployment benefit receipt. In Panel B and D, previous earnings are assumed to be equal to the average wage.

Figure 7. Selected output from the OECD tax-benefit model



Source: Calculations based on the OECD tax-benefit model. The average wage used to produce these charts is CAD 81 163

Annex I: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Canada that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

Ontario Disability Support Program (ODSP)

The Ontario Disability Support Program (ODSP) is designed to meet the unique needs of people with disabilities and their families who are in financial need, or who want and are able to work and need support.

Family structure	Single	Couple (1 spouse disabled)	Couple (Both spouses disabled)
No children	1169 (672+497)	1750 (969+781)	1971
One child aged 0 - 17	1596 (815+781)	1815 (969+846)	2036 (1971 + 65)
Two children aged 0 - 17	1661 (815+846)	1887 (969+918)	2108 (1971 +137)

Employment earnings above CAD 200 per month reduce ODSP benefits at a rate of 50 percent. ODSP provides a disability related employment expense deduction up to a maximum of CAD 1,000 per month.

Canadian Benefit for Parents of Young Victims of Crime (PYVC)

In September 2018, the Government of Canada announced changes to the “Canadian Benefit for Parents of Young Victims of Crime (PYVC) which replaced the Federal Income Support for Parents of Murdered or Missing Children grant. This initiative provides a taxable payment of CAD 450 per week to parents of children under the age of 25 who are missing or are deceased as a result of a probable Criminal Code offence, for a maximum of 35 weeks over a period of two years.

Child Disability Benefit (CDB)

The Child Disability Benefit (CDB) is a monthly benefit included in the CCB to provide financial assistance to qualified families caring for children under 18 years of age who have a severe and prolonged impairment in physical or mental functions and qualify for the Disability Tax Credit (DTC).²⁵

For the 2021-2022 payment year, the CDB provides up to CAD 2,915 per year (242.92 per month) for each child eligible for the DTC. The CDB is reduced when AFNI is more than CAD 69,395. The reduction is calculated as follows:

- For families with one child eligible for the DTC, the reduction is 3.2% of the amount of AFNI over CAD 69,395.

²⁵ For more information, please see: <https://www.canada.ca/en/revenue-agency/services/child-family-benefits/child-disability-benefit.html>

- For families with two or more children eligible for the DTC, the reduction is 5.7% of the amount of AFNI over CAD 69,395.

Canada Caregiver Credit

The Canada caregiver credit (CCC) is a non-refundable tax credit available to individuals with dependants who have a physical or mental impairment. The claim amount depends on the relationship to the dependant, the individual's circumstances, the dependant's net income, and whether other credits are being claimed for the dependant. Subject to these conditions, in 2022, individuals could claim a maximum of up to CAD 7,525, for those dependants aged 18 or older. The credit is completely phased-out above a net income of CAD 25,195.

Canada Workers Benefit disability supplement

The CWB includes a supplement equal to 27% of each dollar of earned income over CAD 1 150, to a maximum credit of CAD 720, for persons with disabilities in 2022. For single individuals, the CWB disability supplement is reduced by 15% of AFNI above CAD 32 244 and no disability supplement is paid when net income is more than CAD 37 044. For families, the CWB disability supplement is reduced by 15% of AFNI above CAD 42 197 and no disability supplement is paid when family net income is more than CAD 46 997. If both spouses are eligible for the CWB disability supplement, each individual supplement is instead reduced at a rate of 7.5%, reaching zero when AFNI is more than CAD 51 797. The secondary earner exemption described in section 6.1.2 above can also lower a family's AFNI for the purpose of the CWB disability supplement's income test. The parameters described in this paragraph constitute the default national design, but modified parameters may be in effect in provinces with a reconfiguration agreement in place.

Annex II: Programs not currently implemented

1.1. Sickness Benefit

Sickness benefits are paid under Employment Insurance (EI) (see Section 2.1). Some additional detail is provided here.

1.1.1. Entitlement and eligibility conditions

Workers who are unable to work for medical reasons, and whose regular weekly earnings from work have decreased by more than 40% for at least one week are eligible for sickness benefits. To receive benefits, workers must have a medical certificate showing that they are unable to work for medical reasons, and have accumulated 600 insured hours of work in the 52 weeks before the start of the claim or since the start of their last sickness benefit claim, whichever is shorter. On 1 January 2022 there are temporary measures in place which improve accessibility to EI (including reducing the required insured hours). See details in Section 2.1.

1.1.2. Benefit amounts

Recipients are paid 55% of their insured average weekly covered earnings, up to the maximum insurable earnings. Average weekly covered earnings are based on the workers best 14 to 22 weeks of earnings (depending on the regional unemployment rate) in the last 52 weeks or since the last claim (whichever period is shorter).

1.1.3. Benefit duration

After a one-week waiting period, benefits are paid for up to 15 weeks.

1.2. Mandatory employer sick pay

In Canada, responsibility for the regulation of labour matters is constitutionally divided between the federal, provincial and territorial governments. The federal government has exclusive authority to legislate labour standards for the federally regulated private sector, which represents about 955,000 employees (or 6% of all Canadian employees). Since September 2019, employees are entitled to five days of personal leave, including three paid days after completing three consecutive months of continuous employment with the employer that can be taken for various reasons, including to treat a personal illness or injury.

In December 2021, the Parliament of Canada passed legislation that will require employers in the federally regulated private sector to provide their employees with up to ten days of medical leave with pay in a calendar year. The provisions will come into force on a day to be fixed by order of the Governor in Council in order to allow time for corresponding regulations to be developed and to give employers sufficient time to adjust collective agreements and employer workplace policies, as needed.

Three other jurisdictions in Canada currently have permanent mandatory employer sick pay, ranging from one to five days.